3. Sentiment indicators—assess investor sentiment levels
4. Variance indicators—assess volatility levels
5. Comprehensive indicator—make a hybrid approach using the techniques above

What Did We Find?

The sad conclusion is that few of these ideas stand up to intense robustness tests except for the simplest technical rules (much like asset allocation—simpler is often better). Trust us, we'd love to tell you that we have identified a way to reliably predict the market using fancy algorithms derived from hundreds of academic research articles. We've replicated these papers in one form or another and subjected their insights to intense empirical scrutiny. We've also tried to integrate the signals suggested from the research into a trading model we could deploy in the real world.

Not surprisingly, the Ivory Tower is a lot different than the real world. Few of the ideas are reliable: They lack robustness and they are littered with data mining. A large swath of the financial services industry would love to have you believe in the magic of market timing. We're here to tell you that you should be highly skeptical. But we aren't the only ones with this uneventful finding. Amit Goyal and Ivo Welch, in their 2008 paper, “A Comprehensive Look at the Empirical Performance of Equity Premium Prediction,” come to a conclusion similar to our own:

> *Our article comprehensively reexamines the performance of variables that have been suggested by the academic literature to be good predictors of the equity premium. We find that by and large, these models have predicted poorly both in-sample (IS) and out-of-sample (OOS) for 30 years now; these models seem unstable, as diagnosed by their out-of-sample predictions and other statistics; and these models would not have helped an investor with access only to available information to profitably time the market.*[1]

At the outset, we did mention that simple technical rules—the simplest trading rules out there—are, ironically, the most robust and show the most promise for protecting against significant drawdowns. Granted, these rules